

INDEPENDENT AUDITOR'S REPORT: ANNEXURE ON CARO 2020

Statutory Audit Annexure under Section 143(11) of the Companies Act, 2013

Client: Tata Motors Limited	CIN: L28920MH1945PLC004520
Financial Year: 2023-24	Audit Date: 2024-03-31
Audit Firm: B S R & Co. LLP, Chartered Accountants (Firm Reg No. 101248W/W-100022)	Lead Partner: CA Rajesh Mehta, FCA (Membership No. 048921)

Clause 3(i)(a)-(e): Property, Plant & Equipment and Intangible Assets [OBSERVATION]

- (i) (a) (A) The Company has maintained proper records showing full particulars of Property, Plant and Equipment.
(B) The Company has maintained proper records showing full particulars of intangible assets.
- (b) The Property, Plant and Equipment have been physically verified by the management under a reasonable phased programme; no material discrepancies were noticed.
- (c) According to the information and explanations given to us and on the basis of our examination of records, the title deeds of immovable properties (other than properties where the Company is lessee) disclosed in financial statements are held in the name of the Company, except for the following properties:
- (d) The Company has not revalued its Property, Plant and Equipment or intangible assets during the year.
- (e) According to the information and explanations given to us, no proceedings have been initiated or are pending against the Company for holding benami property under the Prohibition of Benami Property Transactions Act, 1988.

Balance Sheet Line Item	Description of Property	Gross Carrying Value (₹ Cr)	Title Deeds Held In Name Of	Whether Promoter/Director/Relative	Period Held (Years)	Reason for Not Being Held in Company Name
Freehold Land	Plot No. 42 & 43, Pimpri Industrial Area, Pune (6.2 Acres)	18.45	Erstwhile TAL Manufacturing Solutions Ltd	No	4	Pending mutation of revenue records post-amalgamation sanctioned by NCLT
Freehold Land	Survey No. 118, Sanand Industrial Area, Gujarat (14.5 Acres)	32.10	Gujarat Industrial Development Corporation (GIDC)	No	2	Allotment completed; lease-cum-sale deed execution pending stamp duty determination

Clause 3(ii)(a)-(b): Inventories & Working Capital Bank Returns [OBSERVATION]

- (ii) (a) The inventory has been physically verified by the management during the year. In our opinion, the frequency of verification, coverage and procedure of such verification is appropriate. Discrepancies noticed were not 10% or more in the aggregate for each class of inventory and have been properly dealt with in the books of account.
- (b) The Company has been sanctioned working capital limits in excess of ₹5 Crore in aggregate from banks on the basis of security of current assets. The quarterly returns or statements filed by the Company with such banks are in agreement with the books of account, except for the following quarterly returns where differences arose due to normal financial closure adjustments:

Quarter	Name of Bank / Consortium	Securities Particulars	Type of Current Asset	Amount as per Books (₹ Cr)	Amount Reported to Bank (₹ Cr)	Difference (₹ Cr)	Reason for Material Discrepancy
Q1 (June 2023)	State Bank of India Consortium	Hypothecation of raw materials WIP finished goods and book debts	Inventory	8945.20	8890.00	55.20	Inventory in transit recorded in financial books subsequently post GRN processing

Q1 (June 2023)	State Bank of India Consortium	Hypothecation of raw materials WIP finished goods and book debts	Trade Receivables	4520.10	4580.00	-59.90	Credit notes issued to commercial vehicle dealers post quarter-end reconciliations
Q2 (September 2023)	State Bank of India Consortium	Hypothecation of raw materials WIP finished goods and book debts	Inventory	9120.40	9080.00	40.40	Standard costing rate adjustment executed during quarterly financial closure
Q2 (September 2023)	State Bank of India Consortium	Hypothecation of raw materials WIP finished goods and book debts	Trade Receivables	4810.50	4865.00	-54.50	Rebate and volume discount provisions recognized in financial books
Q3 (December 2023)	State Bank of India Consortium	Hypothecation of raw materials WIP finished goods and book debts	Inventory	9450.80	9415.00	35.80	Valuation variance between provisional monthly run and quarterly closing ledgers

Clause 3(iii)(a)-(f): Loans, Investments, Guarantees & Securities Granted [CLEAN]

(iii) According to the information and explanations given to us and on the basis of our examination of the records of the Company:

(a) During the year, the Company has provided loans, advances in nature of loans, investments and guarantees to subsidiaries, joint ventures and other parties as summarized in the table below:

- To Subsidiaries, JVs & Associates: Granted ₹6405.00 Cr; Outstanding: ₹23225.00 Cr.

- To Other Parties: Granted ₹60.00 Cr; Outstanding: ₹40.90 Cr.

(b) In our opinion, the investments made, guarantees provided, and the terms and conditions of the grant of all loans and advances in the nature of loans are not prejudicial to the company's interest.

(c) In respect of loans and advances in nature of loans, the schedule of repayment of principal and payment of interest has been stipulated and repayments or receipts are regular.

(d) There are no amounts overdue for more than ninety days in respect of the loans or advances granted.

(e) No loans or advances in the nature of loans granted which had fallen due during the year have been renewed or extended or fresh loans granted to settle the overdues.

(f) The Company has not granted any loans or advances in the nature of loans either repayable on demand or without specifying any terms or period of repayment.

Category	Aggregate Amount Granted during the Year (₹ Cr)	Balance Outstanding as at March 31 (₹ Cr)
Subsidiaries, Joint Ventures and Associates	6405.00	23225.00
Parties other than Subsidiaries, Joint Ventures and Associates	60.00	40.90
Total	6465.00	23265.90

Clause 3(iv): Compliance with Sections 185 and 186 (Loans to Directors & Investments) [CLEAN]

(iv) In our opinion and according to the information and explanations given to us, the Company has complied with the provisions of Sections 185 and 186 of the Companies Act, 2013 in respect of loans granted, investments made and guarantees and securities provided.

Clause 3(v): Public Deposits & Deemed Deposits (Sections 73 to 76) [CLEAN]

(v) In our opinion and according to the information and explanations given to us, the Company has not accepted any deposits or amounts which are deemed to be deposits within the meaning of Sections 73 to 76 of the Act and the rules framed thereunder. Accordingly, clause 3(v) of the Order is not applicable.

Clause 3(vi): Maintenance of Cost Records (Section 148(1)) [CLEAN]

(vi) We have broadly reviewed the books of account maintained by the Company pursuant to the rules made by the Central Government for the maintenance of cost records under sub-section (1) of Section 148 of the Companies Act, 2013, and are of the opinion that, prima facie, the prescribed accounts and records have been made and maintained. We have not, however, made a detailed examination of the same with a view to determine whether they are accurate or complete.

Clause 3(vii)(a)-(b): Statutory Dues & Disputed Litigations [QUALIFIED]

(vii) (a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, undisputed amounts payable in respect of statutory dues which were in arrears as at March 31, 2024 for a period of more than six months from the date they became payable are as follows:

(b) According to the information and explanations given to us, statutory dues relating to Goods and Services Tax, provident fund, income-tax, sales-tax, service tax, duty of customs, duty of excise and value added tax which have not been deposited on account of any dispute are set out in the table below:

Name of Statute	Nature of Dues	Amount (₹ Cr)	Period to Which Amount Relates	Due Date	Date of Payment / Status
Maharashtra Municipal Corporations Act	Local Municipal Property Cess	2.45	FY 2022-23 (H2)	2023-09-15	Unpaid
Jharkhand Municipal Act	Local Area Property Tax	0.85	FY 2023-24 (Q1)	2023-08-31	Unpaid

Clause 3(viii): Undisclosed Income Surrendered in Tax Assessments [CLEAN]

(viii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not surrendered or disclosed any transactions, previously unrecorded as income in the books of account, in the tax assessments under the Income Tax Act, 1961 as income during the year.

Clause 3(ix)(a)-(f): Borrowings Defaults, Wilful Defaulter & Fund Utilization [CLEAN]

(ix) (a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender.

(b) According to the information and explanations given to us, the Company has not been declared a wilful defaulter by any bank or financial institution or other lender.

(c) In our opinion and according to the information and explanations given to us, term loans were applied for the purpose for which the loans were obtained.

(d) According to the information and explanations given to us, and the procedures performed by us, and on an overall examination of the financial statements of the Company, we report that no funds raised on short-term basis have been used for long-term purposes by the Company.

(e) According to the information and explanations given to us and on an overall examination of the financial statements of the Company, we report that the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries, associates or joint ventures.

(f) According to the information and explanations given to us and procedures performed by us, we report that the Company has not raised loans during the year on the pledge of securities held in its subsidiaries, joint ventures or associate companies.

Clause 3(x)(a)-(b): Public Offers & Preferential Allotments (Sections 42 & 62) [CLEAN]

(x) (a) The Company has not raised any moneys by way of initial public offer or further public offer (including debt instruments) during the year. Accordingly, clause 3(x)(a) of the Order is not applicable.

(b) The Company has not made any preferential allotment or private placement of shares or convertible debentures during the year. Accordingly, clause 3(x)(b) of the Order is not applicable.

Clause 3(xi)(a)-(c): Fraud Reporting & Whistleblower Complaints (Section 143(12)) [CLEAN]

(xi) (a) According to the information and explanations given to us, no fraud by the Company or any fraud on the Company has been noticed or reported during the year.

(b) No report under sub-section (12) of Section 143 of the Companies Act, 2013 has been filed by the auditors in Form ADT-4 as prescribed under Rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government during the year.

(c) As represented to us by the management, 14 whistle-blower complaints were received by the Company during the year and were investigated and considered by us while determining the nature, timing and extent of our audit procedures.

Clause 3(xii)(a)-(c): Nidhi Company Statutory Ratios & Compliance [NOT_APPLICABLE]

(xii) In our opinion and according to the information and explanations given to us, the Company is not a Nidhi company. Accordingly, clauses 3(xii)(a), 3(xii)(b) and 3(xii)(c) of the Order are not applicable.

Clause 3(xiii): Related Party Transactions (Sections 177, 188 & Ind AS 24) [CLEAN]

(xiii) According to the information and explanations given to us and based on our examination of the records of the Company, transactions with the related parties are in compliance with Sections 177 and 188 of the Act, where applicable, and details of such transactions have been disclosed in the financial statements as required by the applicable accounting standards (Ind AS 24).

Related Party Name	Relationship	Nature of Transaction	Amount (₹ Cr)	Audit Committee Approval	Arm's Length Tested	Disclosed in Financial Statements
Tata Sons Private Limited	Holding / Ultimate Promoter	Brand Equity and Business Promotion Fees	145.20	Yes	Yes	Yes
Tata Motors Finance Limited	Subsidiary	Subvention and Vehicle Financing Support	380.50	Yes	Yes	Yes
Tata AutoComp Systems Limited	Associate	Purchase of automotive parts and wiring harnesses	2840.60	Yes	Yes	Yes
Jaguar Land Rover Limited	Subsidiary	Reimbursement of shared engineering & technology costs	420.00	Yes	Yes	Yes
Tata Technologies Limited	Associate	Engineering research & software development services	310.40	Yes	Yes	Yes

Clause 3(xiv)(a)-(b): Internal Audit System & Reports Consideration (Section 138 & SA 610) [CLEAN]

(xiv) (a) In our opinion and based on our examination, the Company has an internal audit system commensurate with the size and nature of its business.

(b) We have considered the internal audit reports of the Company issued till date for the period under audit.

Clause 3(xv): Non-Cash Transactions with Directors (Section 192) [CLEAN]

(xv) In our opinion and according to the information and explanations given to us, the Company has not entered into any non-cash transactions with its directors or persons connected with them and hence, provisions of Section 192 of the Companies Act, 2013 are not applicable.

Clause 3(xvi)(a)-(d): RBI NBFC Registration & CIC Status (Section 45-IA) [CLEAN]

(xvi) (a) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(a) of the Order is not applicable.

(b) The Company has not conducted any Non-Banking Financial or Housing Finance activities without obtaining a valid Certificate of Registration (CoR) from the Reserve Bank of India as per the Reserve Bank of India Act, 1934.

(c) The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Accordingly, clause 3(xvi)(c) of the Order is not applicable.

(d) According to the information and explanations provided by the management, the Group has 0 Core Investment Company (CIC) as part of the Group.

Clause 3(xvii): Recalculation of Real Cash Losses [CLEAN]

(xvii) The Company has not incurred cash losses in the current financial year and in the immediately preceding financial year.

Financial Year	Profit / (Loss) Before Tax (₹ Cr)	Depreciation & Amortization (₹ Cr)	Other Non-Cash Adjustments (₹ Cr)	Net Realized Cash Profit / (Loss) (₹ Cr)	Cash Loss Incurred?
2023-24	8144.00	2450.00	50.00	10644.00	No
2022-23	2728.00	2485.00	0.00	5213.00	No

Clause 3(xviii): Resignation of Statutory Auditors (Section 140(2) & SA 300) [CLEAN]

(xviii) There has been no resignation of the statutory auditors during the year. Accordingly, clause 3(xviii) of the Order is not applicable.

Clause 3(xix): Going Concern Capability & 1-Year Liquidity Assessment [CLEAN]

(xix) On the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report indicating that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company.

Ratio Name	Current Year	Prior Year	Variance %	Benchmark / Tolerance	Healthy?
Current Ratio	1.11	0.98	+13.27%	1.00	Yes
Debt Equity Ratio	0.57	1.12	-49.11%	2.00	Yes
Debt Service Coverage Ratio	3.00	1.82	+64.84%	1.25	Yes
Return On Equity Pct	30.29	11.45	+164.54%	10.00	Yes
Inventory Turnover Ratio	5.72	5.15	+11.07%	4.00	Yes

Clause 3(xx)(a)-(b): Corporate Social Responsibility (CSR) Compliance (Section 135) [CLEAN]

(xx) (a) In respect of other than ongoing projects, the Company has transferred unspent amount to a Fund specified in Schedule VII to the Companies Act within a period of six months of the expiry of the financial year in compliance with second proviso to sub-section (5) of Section 135 of the said Act (or no unspent amount remained to be transferred).

(b) In respect of ongoing projects, the Company has transferred unspent amount to a Special Account in compliance with the provision of sub-section (6) of Section 135 of the said Act (or no unspent amount remained to be transferred).

Financial Year	Statutory 2% Obligation (₹ Cr)	Actual Amount Spent (₹ Cr)	Unspent on Ongoing Projects (₹ Cr)	Unspent on Other Projects (₹ Cr)	Compliance Status
FY 2023-24	24.81	25.40	0.00	0.00	Complied
FY 2022-23	17.80	18.15	0.00	0.00	Complied

Clause 3(xxi): CARO Qualifications in Consolidated Financial Statements [NOT_APPLICABLE]

(xxi) The reporting under clause 3(xxi) of the Order is applicable only in respect of Consolidated Financial Statements. Accordingly, this clause is not applicable to the Standalone Financial Statements of the Company.